



MVP Business Model

Working Capital Financing for Retail and Inventory-Based Businesses in Botswana

This document defines the Duela Tech MVP business model — specifically how working capital financing works, which businesses qualify, how funds are disbursed and protected, and how repayments are collected. It is the definitive operational reference for the first phase of the platform.

1.1 Explanation

Working capital is the money a business needs to operate before its revenue comes in. Most retail and inventory businesses face a timing gap — they have to spend money buying stock before they can earn money selling it. This gap is what Duela Cred finances.

A baker buys flour, butter, and packaging for BWP 2,000 every Monday. By Friday she has sold everything for BWP 2,800. She made BWP 800 profit. But if she only has BWP 800 in her account on Monday she can only buy BWP 800 of ingredients, which means she can only bake and sell BWP 1,120 worth of goods. Her business is not failing. It is constrained by the cash available at the start of each cycle. Duela Tech gives her the BWP 2,000 she needs to operate at full capacity.

1.2 Why This Works as a Financing Product

- The money is tied to a specific, verifiable purpose — buying stock. Not a vague business goal.
- The repayment comes from a real, existing revenue stream — the business is already selling and already generating cash

- The cash cycle is short — stock is bought, sold, and revenue collected within days to weeks, not months
- The risk is not whether the business can generate revenue — it already is. The question is whether the working capital unlocks enough additional revenue to cover the repayment comfortably

1.3 The Core Question Before Approving Any Campaign

Will the additional capital unlock enough additional revenue to cover the monthly repayment comfortably — while still leaving the business owner with meaningful profit? If the answer is clearly yes, the campaign is fundable. If the answer is uncertain or depends on optimistic assumptions, it is not.

2.1 Overview

DuelaCred finances retail and inventory-based businesses in Botswana that meet three criteria: they are already generating consistent revenue, they have a specific and verifiable stock-buying need, and they have the repayment capacity to service the campaign comfortably from additional revenue generated.

The following five business categories are approved for the MVP phase. Each category has its own profile, vetting approach, and disbursement method.

2.2 Bakers and Home Bakers

Business Profile	Financing Details
Home bakers, small bakery operations, catering bakers supplying events, offices, and schools	Campaign range: BWP 1,500 – BWP 5,000
Buying: flour, butter, eggs, sugar, yeast, packaging, baking supplies	Repayment period: 3–6 months
Revenue cycle: 1–7 days from ingredient purchase to sale	Return multiple: 1.15x – 1.20x
Orders are often confirmed before buying ingredients — low inventory risk	First campaign cap: BWP 5,000

What makes a baker fundable:

- Confirmed regular orders — school contracts, office supply agreements, event bookings — provide predictable revenue
- Can clearly state weekly ingredient cost and weekly sales revenue
- Has been operating for at least 6 months with identifiable repeat customers
- Mobile money shows regular small inflows consistent with daily or weekly sales

Disbursement approach:

- Where possible: direct payment to identified ingredient supplier (Cash and Carry, specific wholesaler)
- Otherwise: transfer to business mobile money with proof of purchase required within 72 hours

2.3 Catering Businesses

Business Profile	Financing Details
Event caterers, office lunch caterers, funeral caterers, wedding caterers, school tuck shops run by caterers Buying: food ingredients, cooking supplies, disposable containers, serving equipment Revenue cycle: payment often received at event or within 7–14 days Often have confirmed bookings — lower demand risk than pure retail	Campaign range: BWP 3,000 – BWP 20,000 Repayment period: 3–6 months Return multiple: 1.15x – 1.20x First campaign cap: BWP 8,000

What makes a caterer fundable:

- Has confirmed upcoming events or standing contracts — not purely speculative future bookings
- Can show event booking deposits or letters of engagement as evidence of confirmed revenue
- Operates consistently — not only during peak seasons like December and Easter
- Can demonstrate past event revenue through mobile money receipts or client payment records

Disbursement approach:

- Ideal: direct payment to identified food supplier or Cash and Carry account
- Proof of purchase required within 72 hours of each disbursement

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2.4 Vetted E-Commerce Businesses

Business Profile	Financing Details
Online retailers selling through WhatsApp, Facebook, Instagram, or local e-commerce platforms — clothing, tech accessories, homeware, beauty products	Campaign range: BWP 2,000 – BWP 15,000
Buying: clothing stock, tech accessories, phone cases, beauty products, homeware	Repayment period: 3–6 months
Revenue cycle: 1–30 days depending on platform and delivery	Return multiple: 1.20x – 1.25x (slightly higher — less physical verifiability)
Must have verifiable social media presence and order history as proof of trading	First campaign cap: BWP 5,000

What makes an e-commerce business fundable:

- Active social media presence with visible sales activity — comments, DMs, customer reviews, sold-out posts
- Can show at least 3 months of consistent order history through WhatsApp chats, DM logs, or order screenshots
- Has an identified supplier — a specific clothing wholesaler, tech accessories importer, or beauty distributor
- Mobile money shows inflows consistent with regular sales activity
- Has at least one physical aspect — pickup location, storage space — that can be photographed

Disbursement approach:

- Direct payment to identified supplier where supplier has a verifiable mobile money or bank account
- Screenshots of supplier invoice and proof of stock received required within 72 hours
- Social media post showing new stock arrival accepted as additional proof of purchase

E-commerce requires slightly more scrutiny than physical retail because the business is harder to physically verify. The social media trail and order history are the equivalent of the physical shop photos for a brick-and-mortar business. If an e-commerce applicant cannot show consistent, real customer interactions their application is declined.

2.5 Nail Technicians and Beauty Practitioners

Business Profile	Financing Details
Nail technicians, lash technicians, braiders, and beauty practitioners who sell products alongside services — nail polish, gels, tips, lash sets, hair products Buying: nail supplies, gel kits, lash inventory, hair products for resale Revenue cycle: daily service income plus product sales <i>Note: financing covers product stock only — not service equipment</i>	Campaign range: BWP 1,500 – BWP 10,000 Repayment period: 3–6 months Return multiple: 1.15x – 1.20x First campaign cap: BWP 4,000

What makes a nail tech fundable:

- Has a fixed working location — home salon, rented chair, or own premises — that can be photographed
- Has a client book or appointment system showing regular bookings
- Social media shows active service promotion and client work photos with regular posting activity
- Can identify the specific product supplier they buy from and the exact products they intend to purchase
- Mobile money shows consistent inflows matching a service-based income pattern

Disbursement approach:

- Direct payment to beauty supply wholesaler where the supplier has a verifiable account
- Proof of stock received — photos of new product inventory — required within 72 hours
- Product receipt or supplier invoice required as supporting documentation

Important limitation:

DuelaCred does not finance service equipment such as nail lamps, drill machines, or salon furniture at MVP stage. Financing covers inventory only — products that are sold on or consumed in service delivery. Equipment financing is a different product with different repayment logic and will be considered in Version 2.

2.6 General Retail Shops and Tuck Shops

Business Profile	Financing Details
General dealers, tuck shops, spaza-style stores, small superettes selling fast-moving consumer goods — groceries, airtime, cold drinks, household items Buying: groceries, FMCG goods, airtime stock, cold drinks, cleaning products Revenue cycle: 1–7 days — high-turnover daily sales Easiest business type to verify — physical stock, fixed location, daily footfall	Campaign range: BWP 1,000 – BWP 5,000 Repayment period: 3–6 months Return multiple: 1.15x First campaign cap: BWP 5,000

Why general retail is the anchor business type:

- Easiest to verify — physical shop, visible stock, identifiable location
- Highest frequency of transactions — daily sales create predictable cash flow for repayment
- Simplest use of funds — stock buying from Cash and Carry or identified distributor
- Direct supplier payment is most achievable with this business type
- Lowest investor risk in the DuelaCred portfolio — recommended for conservative investor risk band

Disbursement approach:

- Primary: direct payment to Cash and Carry or named distributor
- Secondary: transfer to business mobile money with Cash and Carry receipt required within 72 hours
- Stock photo at shop premises required as confirmation of delivery

3.1 Overview

Every SME application goes through a five-stage vetting process before approval. The process is proportional to the campaign size — a BWP 5,000 first campaign requires less documentation than a BWP 25,000 repeat campaign.

Stage	What Is Checked	How It Is Verified	Time Required
1. Identity	Omang or passport of business owner	Document upload — name, photo, ID number checked	5 minutes
2. Business registration	CIPA registration lookup	CIPA search — confirms business is legally registered	5 minutes
3. Physical verification	Business premises, stock, owner photo	Three photos uploaded: business front, interior with stock, owner at premises	10 minutes
4. Financial assessment	Mobile money history, self-reported revenue, declared costs	Three months of mobile money statements + structured financial questionnaire	20 minutes
5. MLRO approval	Full application review, risk scoring, campaign terms set	Manual review by DuellaCred MLRO — approve, decline, or request additional information	24–48 hours

3.2 The Five Application Questions

Every applicant answers these five questions as part of Stage 4. The specificity of their answers is as important as the numbers:

Question	What It Reveals	Red Flag Answer
How long has your business been operating?	Trading maturity and stability	Less than 6 months — decline unless exceptional circumstances
What are your average weekly or monthly sales in BWP?	Revenue baseline for repayment capacity assessment	Cannot give a specific number — business owner does not track their own sales
What are your main monthly costs?	Real profitability and surplus available for repayment	"I don't really know" — no financial awareness is a serious vetting concern
What exactly will you use this funding for?	Specificity of purpose — key fraud prevention question	"To grow my business" or any vague answer — not fundable
How will this generate the revenue to repay us monthly?	Repayment logic — does the math work?	Cannot articulate a clear link between the capital and additional revenue

3.3 Risk Scoring

Factor	Low Risk (Score 1)	Medium Risk (Score 2)	High Risk (Score 3)
Trading history	Over 2 years operating	1–2 years operating	Under 1 year operating
Mobile money activity	50+ transactions per month, consistent amounts	20–50 transactions per month	Under 20 or very irregular
Revenue clarity	Specific weekly/monthly figures stated and plausible	Approximate figures — somewhat plausible	Vague or implausible revenue claims
Purpose of funding	Specific supplier, specific stock, specific amount	General stock category — supplier not named	Vague — "to grow" or "to buy things"
Physical verifiability	Fixed premises, visible stock, clear location	Home-based but photographable	Digital only — no physical presence
Repayment capacity	Declared surplus clearly exceeds monthly repayment	Surplus approximately matches repayment	Surplus below or unclear relative to repayment

Total score 6–8: Low risk — return multiple 1.15x — eligible for conservative investor band

Total score 9–13: Medium risk — return multiple 1.20x — eligible for balanced investor band

Total score 14–18: High risk — return multiple 1.25x — eligible for growth investor band only — MLRO personal approval required

4.1 The Three-Layer Fund Control System

DuelaCred uses three complementary controls to ensure disbursed funds are used for their stated purpose. No single control is foolproof — together they make misuse very difficult, immediately visible, and costly for the SME.

Layer 1 — Direct Supplier Payment (Primary Control)

Where possible, Duela Tech pays the supplier directly — not the SME. The SME receives stock, not cash. There is nothing to misuse because no cash changes hands.

- At application the SME declares their primary supplier name, mobile money number or bank account, and the specific goods to be purchased
- Upon campaign funding Duela Tech contacts the supplier independently to verify the account details
- Payment is made directly to the supplier with a payment reference that includes the SME name and campaign number
- The supplier confirms delivery to Duela Tech within 48 hours of payment
- This approach is used for all bakers, caterers, general retailers, and nail techs with identifiable formal suppliers

Layer 2 — Proof of Purchase Within 72 Hours (Secondary Control)

Where direct supplier payment is not possible, the SME must submit proof of purchase within 72 hours of receiving funds. Failure to submit triggers an immediate formal review.

- Required documentation within 72 hours of disbursement:
- Photo of receipt or invoice from supplier
- Photo of stock physically received and stored at business premises
- For e-commerce: screenshot of supplier order confirmation plus delivery tracking
- For nail tech and beauty: photo of new product inventory at salon or working location
- Duela Tech reviews submitted evidence within 24 hours of receipt
- If evidence is not submitted within 72 hours: funds are flagged as potentially misused, MLRO notified, SME contacted for explanation
- If evidence is inadequate or suspicious: campaign placed under formal review, investors notified, legal recovery considered

Layer 3 — Post-Disbursement Transaction Monitoring

After disbursement, Duela Tech monitors the SME's mobile money transaction patterns for 4 weeks. A business that spent its capital on stock shows increased transaction activity. A business that misused funds does not.

- SMEs consent to post-disbursement transaction monitoring as part of the campaign agreement
- What Duela Tech looks for in the 4 weeks after disbursement:
- Increased transaction frequency — more sales means more mobile money inflows

- Transaction amounts consistent with restocked business operating at higher capacity
- Supplier payment visible in outgoing transactions if not paid directly
- Red flag: transaction pattern after disbursement identical to pattern before— no evidence of additional activity
- Red flag: large transfers to personal accounts or unrelated parties immediately after disbursement
- Any red flag triggers an MLRO review within 48 hours — not an automatic default declaration but a mandatory investigation

4.2 What Happens if Misuse is Confirmed

Stage	Action	Timeframe
Misuse detected	MLRO notified — SME contacted immediately for explanation	Within 24 hours of detection
No satisfactory explanation	Formal demand letter issued — full outstanding balance due immediately	Within 5 business days
Non-payment of demand	Civil recovery initiated — local attorney engaged for amounts above BWP 5,000	Day 15 after demand
Investor notification	Investors informed of misuse and recovery status — full transparency throughout	Within 24 hours of formal demand
Platform ban	SME permanently removed from platform regardless of recovery outcome	Immediately upon confirmed misuse
Legal documentation	All evidence of misuse — application declarations, disbursement records, purchase evidence failure — compiled for legal proceedings	Ongoing from detection

5.1 How It Works

Every SME on DuellaCred starts at a capped first-campaign limit regardless of how large their stated need is. Access to larger campaigns is earned through demonstrated repayment performance — not granted upfront based on promises.

The graduated limit model serves two purposes simultaneously. It protects investors by limiting exposure to unproven SMEs. And it creates the most powerful repayment incentive available — the SME has a direct commercial reason to repay on time because doing so unlocks more capital for their next campaign.

Campaign	Maximum Limit	Eligibility Requirement	Return Multiple Range
First campaign	BWP 1,000–5,000 (varies by business type)	Passed full vetting process — no prior track record required	1.15x – 1.20x
Second campaign	BWP 8,000	First campaign repaid in full — zero missed payments	1.15x – 1.20x
Third campaign	BWP 15,000	Two campaigns repaid in full — consistent on-time payments	1.10x – 1.20x (lower risk = lower return)
Fourth campaign and beyond	BWP 30,000	Three or more campaigns with clean repayment record	1.10x – 1.15x — returning SMEs are the safest investment on the platform

5.2 Communication to SMEs

The graduated limit system is communicated to every SME at the point of application — not as a restriction but as a pathway.

5.3 Why This Is Better Than Collateral

- Collateral requires the SME to already own assets — excluding exactly the businesses that need help most
- The repayment track record is a better predictor of future repayment behaviour than any asset valuation
- It creates a loyalty dynamic — returning SMEs are more valuable to the platform than new ones because their risk is known
- It generates the proprietary credit data that becomes Duela Tech's competitive moat over time — each completed cycle adds to a dataset no competitor can replicate without years of operation

6.1 The Repayment Structure

Element	Detail
Repayment period	3 or 6 months — set at campaign approval based on business type and campaign size
Repayment frequency	Monthly — first repayment due 30 days after disbursement date
Repayment amount	Equal monthly instalments — total repayment amount divided by number of months
Repayment method	SME transfers to Duela Tech ring-fenced account via Orange Money, Mascom MyZaka, or bank transfer
Distribution timing	Investors receive their proportional share within 48 hours of each repayment received
Partial repayment	Distributed proportionally to investors — even partial amounts distributed promptly rather than held
Late repayment tolerance	7 days grace period — MLRO outreach on Day 8 — BWP 150 late fee applied on Day 15
Early repayment	Permitted at any time — investors receive outstanding balance proportionally — no penalty for SME

6.2 Example Repayment Calculation

Scenario	General Dealer — 6-Month Campaign
Campaign amount	BWP 10,000
Platform fee (5%)	BWP 500 — deducted at disbursement
SME receives	BWP 9,500
Return multiple	1.20x
Total investor repayment	BWP 12,000 (BWP 10,000 × 1.20x)
Monthly repayment by SME	BWP 2,000 per month for 6 months
Investor A (invested BWP 3,000)	Receives BWP 600 per month — BWP 3,600 total
Investor B (invested BWP 5,000)	Receives BWP 1,000 per month — BWP 6,000 total
Investor C (invested BWP 2,000)	Receives BWP 400 per month — BWP 2,400 total
Duela Tech total revenue	BWP 500 origination fee + BWP 0 (clean repayment — no late fees)

7.1 Auto-Invest — No Admin Required

Most investors do not want to browse individual campaigns and make active investment decisions. DuelaCred auto-invest feature allows investors to set their preferences once at onboarding and let the platform deploy their capital automatically.

Investor Risk Band	Campaigns Eligible	Return Multiple	Typical Business Types
Conservative(Peo)	Risk score 6–8 only — lowest risk campaigns	1.15x	General retail shops, established bakers with school contracts, returning SMEs on third+ campaign
Balanced(Kgolo)	Risk score 6–13 — mix of low and medium risk	1.15x – 1.20x	Mix of retail, catering, and established e-commerce businesses
Growth(Khumo)	All approved campaigns including risk score 14–18	1.15x – 1.25x	Full range including first-time e-commerce and nail tech businesses

7.2 The Investor Wallet

- All repayments received are deposited into the investor's in-platform wallet
- The wallet balance is automatically reinvested into the next available campaign matching their risk band
- Investors can withdraw their wallet balance at any time — minimum withdrawal BWP 100
- Investors receive a notification every time a repayment arrives in their wallet
- Monthly dashboard summary shows total invested, total returned, active campaigns, and expected next repayment

7.3 What Investors See on Their Dashboard

Dashboard Element	What It Shows
Portfolio summary	Total deployed, total returned to date, total expected return, wallet balance
Active campaigns	Each campaign with business name, amount invested, repayment progress bar, next payment date
Repayment history	Full log of every payment received with date, amount, and source campaign
Campaign status	Active / Repaying / Late (flagged in amber) / Defaulted (flagged in red) / Completed
Upcoming payments	List of expected repayment dates and amounts across all active campaigns
Risk band setting	Current band — Conservative / Balanced / Growth — with option to change

These exclusions are not permanent — they reflect what is appropriate for the first phase of the platform before a repayment track record has been established.

Excluded Category	Reason	Future Consideration
Service equipment and capital assets	Different repayment logic — equipment does not generate immediate incremental revenue; longer payback period	Version 2 — equipment financing with longer repayment terms
Startups with under 6 months trading	No revenue history to verify repayment capacity — too early to assess	Consider after 12 months of platform operation with proven vetting model
Public transport operators	Event-driven not cyclical capital need — breakdown financing requires different product structure	Version 2 — 30-60 day emergency maintenance facility
Invoice discounting	Requires verification of third-party debtor creditworthiness — more complex product	Version 2 — priority next product after working capital proven
Payroll and personal loans	Different regulatory treatment — consumer credit licence required — different risk profile	Version 3 — pending regulatory clarity and licence
Agricultural businesses	Long seasonal cash cycles create extended repayment periods beyond 6 months	Version 2 — seasonal financing product with harvest-aligned repayment
Construction and contracting	Project-based payment cycles are unpredictable — high default risk at MVP stage	Version 3 — only after sophisticated credit scoring model developed
Businesses with vague funding purpose	Cannot structure appropriate fund controls without specific use of funds stated	Never — specificity of purpose is a permanent eligibility requirement

Investors ui

How It WorksMarketplaceStart InvestingApply for Funding

Step 1 of 425%

Let's get to know you

Your details are kept private and secure.

Full Name

Email Address

Phone Number

+267...

National ID (Qmang or Passport)

Continue

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Step 2 of 450%

Quick suitability check

A few quick questions to make sure we are the right fit.

Question 2 of 3

Are the funds you plan to invest money you can afford to have locked away for up to 6 months?

YesNo

PlatformCompanyConnect

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Step 3 of 475%

How would you like to invest?

Pick the band that matches your style. You can change later.

Peo

(Seed)

CONSERVATIVE

Returns up to 1.15x

Lower risk campaigns. Established businesses with strong track records. Steady and predictable returns.

Kgolo

(Growth)

BALANCED

Returns up to 1.20x

A mix of established and newer businesses. A balance between safety and stronger returns.

Khumo

(Wealth)

GROWTH

Returns up to 1.25x

Higher potential returns from a wider range of businesses. Best for investors comfortable with some risk.

Continue

Duela Cred is in its early access phase. All investments carry risk including potential loss of capital.

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Step 4 of 4100%

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Fund Your Wallet

Because we are currently in our early access phase, we process investments manually. Transfer your investment amount to the Duela Cred account below and upload your proof of payment.

Bank	First National Bank Botswana
Account Name	Duela Cred (Pty) Ltd
Account Number	62812345678
Reference	

Upload Proof of Payment

How It WorksMarketplaceStart InvestingApply for Funding

Reference

Upload Proof of Payment

Tap to upload or drag your proof of payment here
PDF, JPG, PNG - Max 5MB

Amount Transferred (BWP)
0.00

Submit for Review

Duela Cred is in its early access phase. All investments carry risk including potential loss of capital.

How It WorksMarketplaceDashboardHi, aLogout

Proof of payment received

We will verify your transfer and activate your wallet within 24 hours.
You will receive a confirmation by email and SMS.

Go to Dashboard

Investor Dashboard

Track your investments and returns

 Peo band



Wallet Balance

BWP 0



Total Invested

BWP 0



Total Returned

BWP 0



Active Campaigns

0

Active Campaigns

[+ Upload Additional Proof](#)



Your wallet is being activated

Once confirmed you will be matched to campaigns that fit your Peo / Kgolo / Khumo band automatically.

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